



**McCarroll's Automotive Group – Kinghorn Motor Group
& Country Motor Company**

MN-65026

Phase 1 Determination

Acquisition may be put into effect

20 August 2026

1. Determination and statement of reasons

Notified acquisition	McCarroll's of Moss Vale Pty Ltd (McCarroll's) (via a special purpose vehicle, MAG South Coast Pty Ltd) proposes to acquire, through two separate and independent transactions, substantially all of the assets (being all the assets necessary for the operation of the business) of: - the motor vehicle dealership business owned by Kinghorn Motors Pty Ltd (KMG) - the motor vehicle dealership business owned by Country Motor Company Pty Ltd (CMC). As part of the same transactions, McCarroll's (via McCarroll Property Holdings Pty Ltd) proposes to acquire the land on which the KMG and CMC motor dealership businesses are operated. (together, the Acquisitions)
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, McCarroll's, sits within the broader McCarroll's Automotive Group. McCarroll's is a new and used vehicle retailing business that operates 15 franchised automotive dealerships across 10 locations in the following primary market areas (PMAs): Sydney, North Shore, Hornsby and Newcastle. These PMAs are in metropolitan Sydney and the Newcastle region. McCarroll's represents 15 Original Equipment Manufacturer (OEM) vehicle brands as an authorised dealer: Alfa Romeo, Fiat, BYD, GWM, Leap Motor, Lexus, Porsche, Ferrari, Maserati, Volkswagen, Volvo, Geely, RAM, Jeep and Mazda. McCarroll's also supplies OEM spare parts, aftermarket servicing and finance solutions. KMG is a new and used vehicle retailing business that operates 2 franchised automotive dealerships in the Nowra PMA. KMG represents 2 OEM vehicle brands as an authorised dealer: Ford and Volkswagen. KMG also supplies OEM spare parts, aftermarket servicing and finance solutions. CMC is a new and used vehicle retailing business that operates 3 franchised automotive dealerships in Bomaderry, NSW (also located within the Nowra PMA). CMC represents three OEM vehicle brands as an authorised dealer: Hyundai, Isuzu and GWM. CMC also supplies OEM spare parts, aftermarket servicing and finance solutions.
Overlap and relationship between the Parties	McCarroll's, the acquirer, is not active in the Nowra area or broader Illawarra-Shoalhaven region, where KMG and CMC are located. As such, the ACCC does not consider there is an existing relevant geographic overlap between McCarroll's and the target dealerships. McCarroll's closest dealerships to Nowra are in the Sydney suburb of Alexandria, which is approximately 146km from the Nowra PMA. However, KMG and CMC overlap in Nowra (within the Illawarra-Shoalhaven region) in the supply of: new vehicles

	• used vehicles • OEM spare parts • aftermarket servicing • automotive finance services. KMG and CMC do not overlap on an intra-brand basis.
Reasons for determination	When making a determination in Phase 1, the Australian Competition and Consumer Commission (ACCC) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form, market inquiry feedback, and publicly available information. The ACCC has determined that the Acquisition may be put into effect, as it considers that the Acquisition is unlikely to have the effect of substantially lessening competition in any market. In reaching its decision, and based on the material before it, the ACCC makes the following findings. <u>Regarding the supply of new vehicles</u> • The Acquisitions are likely to give rise to a moderate increase in concentration in the supply of new cars in the Nowra area. • However, the merged firm would face competition from multiple alternative suppliers of new cars, both on an intra-brand and inter-brand basis. <u>Regarding the supply of used vehicles</u> • The merged firm would face competition from multiple alternative suppliers of used cars. <u>Regarding the supply of aftermarket servicing and OEM spare parts</u> • Given KMG and CMC do not overlap on an intra-brand basis, they are not likely to be close competitors in the supply of aftermarket servicing and OEM spare parts, which dealerships generally only provide for the OEM brands they supply. <u>Regarding the supply of automotive finance services</u> • The merged firm would face competition from multiple alternative suppliers of automotive finance services.
Applications for review	A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to

	the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.
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**Determination made by Commissioner Williams pursuant to a delegation under section 25(1)
of the Act**